Premier Energies Photovoltaic Gajwel Private Limited
Capital Expenditure Proposal

Company :	Premier Energies Photovoltaic Gajwel Private Limited			SBU		MODULE
Location :	FABCITY			SAP Internal Order No.		
Proposal Ref No.:			Date:	CEP Approval No.		

Title of Proposal	Automatic Storage and Retrieval System and associated civil works		
Proposal Amount incl.	₹ 54,16,60,442	Unbudgeted	Special Approval
Capex : Bud		If Unbugeted : Reasons/Justification	
CEP's Approved so far			
Current CEP			
Cumulative CEP			
Balance available		1. With increase in the production plan of the modules, the space required for storage of the Finished Goods is increasing as well. To accommodate the need, the Automatic Storage and Retrieval System (ASRS) is being installed under PEPGPL in a leased land from Hyderabad Solar Testing Lab (HSTL). 2. Current Challenges: Time consuming FIFO, Order mismatch and dispatch error, Inadequate tracking of FG, Heavy dependency on manual labour. 3. With ASRS, we enviage cost benefit, increased efficiency, better space utilisation, enhanced inventory control, improved order fulfilment.	
		Date of Commencement	01-10-2024
		Date of Completion	31-11-2025

Brief Outline of the Proposal(To enclose justification)

•Cost Savings: Eliminating leased storage space will save ~ Rs. 20 crore per year on the rental and maintenance payment to Radiant warehouse and Kothur warehouse, resulting in long-term financial benefits. The pallet storage can be charged at Rs. 58.89/pallet/day to the company utilising the ASRS storage.
•Increased Efficiency: Automated retrieval and real-time inventory tracking will significantly reduce material movement time and improve dispatch accuracy.
•Enhanced Inventory Control: Integration with SAP WMS will provide complete visibility and traceability of Finished Goods at all times.
•Improved Order Fulfillment: Faster and more accurate retrieval of FG pallets will enhance customer satisfaction and reduce return shipments due to incorrect deliveries as probability of material mismatch is significantly lowered.

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Alternative proposals considered for ASRS		Quotations Considered
1	Craftsman	₹ 36,10,80,000
2	Godrej	₹ 49,32,40,000
3		
Additional cost - Civil and Rc	Includes Pre-operating, IDC, Finance cost, Dock le	₹ 18,05,80,442
Recommended Choice		Recommended Supplier
	Craftsman	₹ 36,10,80,000

Asset Life **15 years**

Cash Outlay Schedule				**Capacity Expansion only**		
Budget Year (2024-25)				ROCE %		**35.58%**
	I Half					
	II Half	INR	₹ 15,30,00,000	Payback Period	Simple from outflow	**5.16 years**
Subsequent Year (2025-26)				(Pretax) (In Yrs)	Normal IRR	**13.10%**
	I Half		₹ 18,05,80,442			
	II Half		₹ 20,80,80,000	NPV @ WACC		**66.40 Crores**
	Total	INR	₹ 54,16,60,442		As per the main CEP	

Have the following been annexed:

	Yes	No
1. Equipment Cost Sheet	✓	
2. Payment Terms	✓	
3. Financial Aspects - Capacity Expansion	✓	
4. Time Schedule	✓	
5. Import Licensing details		✓
6. Statutory Requirments		✓
7. Asset Disposal Form		✓
8. Detailed Write-up on Project justification	✓	
9. Detailed Write-up on Capacity, Alternate Technology, Optg Parameters	✓	
10. Quotations	✓	

Approval	**Signature**	**Date**	**Approval**	**Signature**	**Date**
Initiator			Chief Operating Officer		
SBU Head			Managing Director		
Plant/Project Head			Chairman		